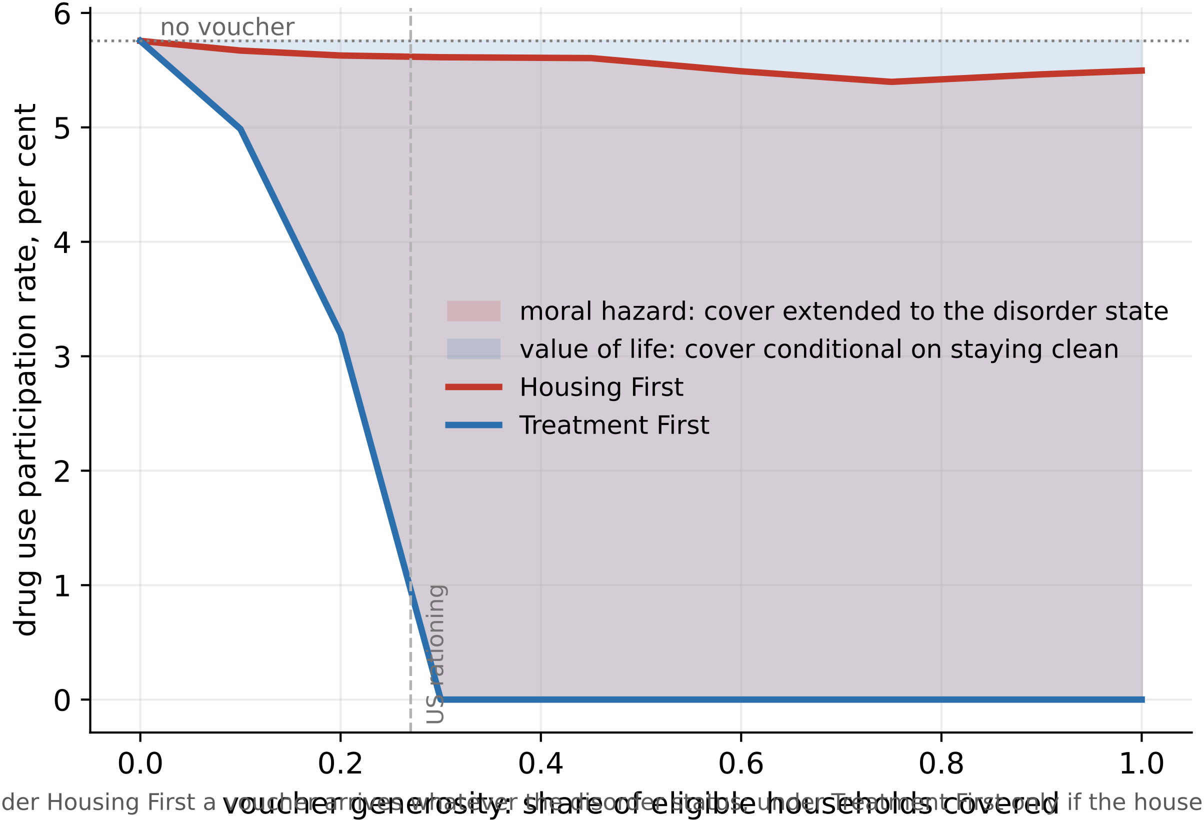
The moral hazard is the gap between the two policies



Under Housing First a voucher arrives whatever the disorder status; under Treatment First only if the household is clean. The only thing the first adds to the second is cover in the disorder state, so the red band IS the moral hazard. Both forces grow with generosity and they work in opposite directions, which is why the net effect of housing assistance on drug use is not signed by theory.